

DECISION



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Proc II
THE COMPTROLLER GENERAL
OF THE UNITED STATES
WASHINGTON, D. C. 20548

FILE: B-196158

DATE: January 24, 1980

MATTER OF: Sogitec, Incorporated DLG-03689

DIGEST:

1. Rejection of proposal which does not conform to specification requirement is proper, even though offeror asserts its nonconforming proposal for data conversion represents modern, state-of-the-art approach that would be significantly less costly to Government. Any complaint concerning specifications should have been filed prior to closing date for receipt of proposals.
2. Agency determinations regarding technical merits of proposals will be questioned by GAO only upon showing of unreasonableness. Where record shows strong disagreement between agency evaluators and offeror concerning minimum effort necessary to accomplish work, value and relevance of offeror's prior experience and reliability of offeror's technical approach, but does not demonstrate that evaluators' position is unreasonable, evaluation and resultant award to higher-rated offeror will not be disturbed.
3. Agency may properly utilize its own reasonable estimates of manhours needed to perform work to measure offerors' understanding of requirements.

DLG-03698 Sogitec, Incorporated (Sogitec) protests award of a contract by the Central Intelligence Agency to Atlantic Associates, Inc. (Atlantic) under request for proposals (RFP) No. 9-79A. The solicitation requested fixed-price proposals to convert hardcopy data into machine readable magnetic tape format. Sogitec contends its technically sound proposal offering the lowest price should not have been rejected by the agency. AGC00210

[Protest Involving Fixed-Price
Contract]

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The RFP informed offerors award would be made to that responsible offeror whose offer conforming to the solicitation would be most advantageous to the Government, price and other factors considered. The right to accept other than the lowest offer was specifically reserved. The RFP stated that while cost proposals would be used to assess an offeror's understanding of the requirements and the validity of its approach, cost would be of less importance than the combined technical and management evaluation factors.

Sogitec's initial proposal provided for using optical character recognition equipment and for keying entries directly from raw data without use of a Data Conversion Form required by the specification, which mandated transcribing to the form prior to keying. Sogitec was informed its proposal was deficient because it did not stipulate a data transcription task and did not provide an estimate of manhours by labor category. The agency then amended the RFP to make clear that the requirement to transcribe the entries meant to handwrite them. In its best and final offer, Sogitec submitted an Option A which provided for such handwritten transcription and an Option B which retained the approach of direct keying without transcribing. The price for Option B was less than half of the awarded contract price.

Sogitec's Option B approach was found to be unacceptable because it did not provide for handwritten data transcription as required by the solicitation. Option A, while acceptable, received the lowest technical evaluation score among the four competing proposals. This low score reflected the evaluators' concerns that Sogitec had no prior experience in library conversion activities, that its estimate of manhours for the data preparation phase was less than half of the agency's internal estimate, and that the proposal was weak in certain areas and reflected a lack of understanding of the complexity of what was required. Atlantic, which received the second highest technical rating, was awarded the contract on the basis of its high overall numerical scores which indicated that on the basis of both technical and price considerations, that firm's proposal was most advantageous to the Government.

Sogitec's major complaint is that the agency rejected its Option B proposal without considering that it reflected a current state-of-the-art approach and that the handwritten

transcription approach was unnecessary. The determination of the minimum needs of an agency and the methods of accommodating them, however, are properly the responsibility of the agency. Maremont Corporation, 55 Comp. Gen. 1362 (1976), 76-2 CPD 181. Here the agency believes the handwritten requirement is essential to insure accuracy since the data entries come from many different libraries, each using its own format, and in various states of legibility. While Sogitec contends that it offered a more modern and improved approach obviating the handwritten transcription step, it has not shown, on this record, that the agency's insistence on the transcription is without a rational basis. In any event, the specifications required the handwritten transcription and the agency therefore was required to reject any proposal that did not conform to those specifications, regardless of the lower price that might be associated with such a proposal. Any objection Sogitec has regarding the requirement should have been filed prior to the closing date for receipt of proposals or, after the RFP was amended, prior to the next closing date for receipt of revised proposals. 4 C.F.R. 20.2(b)(1) (1979).

With respect to its Option A proposal, Sogitec defends its own manhour estimate, asserts the value of its prior experience and questions how the awardee could have a stronger technical approach than Sogitec offered.

We point out that it is not the function of our Office to evaluate the technical merits of proposals or to substitute our judgment for that of the procuring agency as to which offeror should have received the award. Therefore, technical evaluations and award determinations by procuring agencies will be questioned by our Office only upon a clear showing that they were arbitrary or unreasonable or inconsistent with the established evaluation factors. Group Operations Incorporated, 55 Comp. Gen. 1345 (1976), 76-2 CPD 79. While it is clear that there is much disagreement between Sogitec and the agency, we find no basis for concluding that the agency's determinations were unreasonable or otherwise improper.

First, with regard to the agency's internal estimate of required manhours, the agency reports that based on its own experience, it estimated 2.5 minutes for handwritten

transcription, 1.25 minutes for review and editing each entry and six productive hours in an eight hour workshift for a total of five minutes per entry for the data preparation phase, whereas Sogitec estimated it would take approximately two minutes for the same tasks. Sogitec states that its manhour estimate was based on simulating actual production, asserts that the variance in estimates "should have nothing to do with the award evaluation," and questions the relevance of the agency's concern with manhours when a fixed-price contract was to be awarded.

The propriety of an agency's use of its own independent estimates as an aid in determining the acceptability of proposals is well established. Such estimates may pertain both to cost, Raytheon Company, 54 Comp. Gen. 169 (1974), 74-2 CPD 137, and to items which contribute to costs such as required manhours. 53 Comp. Gen. 240 (1973). These estimates are entitled to great weight and an agency's reliance on them will not be disturbed so long as they are reasonable. Teledyne Lewisburg, Oklahoma Aerotronics, B-183704, October 10, 1975, 75-2 CPD 228.

Although Sogitec apparently believes it can accomplish the work with significantly less manhours than the agency thinks is necessary, it has not shown that the agency's estimate and reliance thereon is unreasonable. At best, there is a difference in judgment, and of course the agency's good faith judgment must prevail in situations such as this. Consequently, we cannot object to the agency's use of its own best estimate of manhour requirements. The fact that a fixed-price contract is involved does not negate the propriety of the agency's actions -- the agency's concern was not with what the awardee would be legally bound to do under a fixed-price contract, but with the offeror's understanding of what would be required. (The technical evaluation panel felt that "it is unrealistic to expect a high quality product" to result from the time Sogitec proposed to devote to data preparation.)

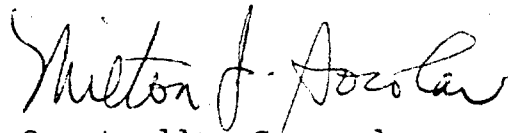
With respect to prior experience, Sogitec concedes that it had no library conversion experience, but refers to its work with aerospace technical manuals and asserts that it "stated that it has several employees with much experience

in library conversion jobs." The agency evaluators found, however, that Sogitec's aerospace engineering background was not "very applicable" to the current project and that the Sogitec proposal did not show that Sogitec's employees had a library conversion background. The record supports the evaluators' position on the latter point and the former point, of course, is a judgment matter within the discretion of the evaluators.

Finally, the evaluators believed Sogitec's approach was weak because of the low manhour estimate and because of Sogitec's plan for detecting keying errors, which the evaluators considered to be unreliable for the amount of data involved. That judgment has not been shown to be unreasonable.

In short, we find that the agency properly rejected Sogitec's nonconforming Option B and that the evaluation of Sogitec's Option A has not been shown to be unreasonable.

The protest is denied.



For The Comptroller General
of the United States

WALDORF, MD -Congressman Steny H. Hoyer (D-MD) hosted women business owners and community leaders from across Maryland's Fifth Congressional District for the Seventh Annual Women's Equality Day Networking Fair and Luncheon. Held in recognition of Women's Equality Day - observed on August 26th commemorating the 1920 passage of the ratification of the 19th

amendment giving women the right to vote - the event is intended to recognize the valuable role women play in our region and provides attendees with an opportunity to network with other women professionals.

"My experiences as a son, a husband, and a father helped me to better appreciate the enormous contributions women have made to our society, and also the unique challenges women face in the workplace," **stated Rep. Hoyer.** "The observance of Women's Equality Day on August 26th not only commemorates the passage of the 19th Amendment - which belatedly endowed women with the right to vote - but also calls attention to women's continuing efforts toward full equality."

This special guest speaker at today's event is Secretary of the U.S. Department of Health and Human Services, Kathleen Sebelius. Secretary Sebelius governs the principal agency for protecting the health of all Americans by providing effective health and human services. Prior to being chosen to head HHS, Secretary Sebelius served as the Governor of Kansas, as well as the state's Insurance Commissioner. Secretary Sebelius has over 20 years of experience in state government, and has been a leader on health care issues for over a decade.

"Secretary Sebelius believes deeply in women's equality, and has devoted much of her life's work to achieving it as a leader on health care," **said Rep. Hoyer in introducing Secretary Sebelius.** "I am so pleased that she could join us today, and look forward to hearing from her just how far health care reform can go toward making that equality a reality."

"I'm honored to address the Women's Equality Day Luncheon with Rep. Hoyer," **said Secretary Sebelius.**

"Today, we celebrate the suffragists who fought so hard for the right to vote more than a century ago. And as we remember what it took to win the right to vote for women, we prepare to take on the tough challenges we must confront today. The health care status quo does not work for women, and our Administration is committed to health insurance reform that helps ensure women and all Americans have the health care choices they need and deserve."

In his remarks, Rep. Hoyer spoke of the *Faces of Women in Need* - the theme of this year's luncheon,

“Specifically, we are here to talk about what we owe to women in need-here and abroad. In America, we owe them an end to discrimination in the workplace. We owe them an education equal to their ambitions and talents, and a safe place to raise their children. But right now, in the summer of 2009, the single greatest thing we owe them is reform of our broken health care system.”

“That system takes its toll on every American, in rising costs, vanishing coverage, persistent insecurity, and crippled small businesses,” **continued Hoyer.** “But I don't think it should surprise any of us that the toll on women is especially severe-And that our health care system is one of the most powerful factors putting women in need and keeping them there.”

Hoyer noted that less women have access to employer passed coverage -48% compared to 57% of men- and that women often pay higher premiums, especially when an inability to get coverage at work forces them onto the individual insurance market. In a recent study, more than half of women said that they put off the medical care they needed because it was too expensive-or that they went without it altogether, while only 39% of men said the same.

“Less access, higher costs, worse health-our health care system is failing America's women, and it is our job to fix it,” **Hoyer said.** “And this issue deserves our special attention on this day dedicated to the struggles of women in need.”

Hoyer also addressed the need to extend a hand of assistance to women in the developing world and praised the Obama Administration for making such action a key focus of development policy, “As passionately as we fight for equality here in America, we cannot forget that the urgency of women's equality knows no borders....Quite simply, it is to put women and girls-their education, their health, their chance to become economically self-sufficient-at the center of our development policy. I'm pleased that President Obama and Secretary Clinton have already done a great deal to bring our foreign policy this new focus.”

Hoyer concluded, “The most vital resource of this new century is not locked in the ground; it can be found in the minds, the dreams, and the ambition of the world's women. The work of equality may change from decade to decade or from nation to nation, but the ideal

remains the same in every place and time: that the future belongs to our daughters every bit as much as to our sons."

Elected officials in attendance at the Women's Luncheon were Delegates Sue Kullen and Sally Jameson, and Charles County Commissioners Edith Patterson and Barbara Stinnett.

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